

deemed expensive, as earnings growth was nothing to talk home about. The weakness of the rupee too weighed.

MSCI EM index, which represents 24 emerging markets, gained nearly 33% against MSCI India's modest 2.29% return. This was the worst relative performance for India in three decades. It reflected the reality of a cyclical deceleration in earnings growth and rupee depreciation against the dollar, says Jefferies.

In a sideways market, fundamentals regained their voice, says Umeshkumar Mehta, CIO at SAMCO Mutual Fund, who sees bottom-up stock investing opportunities ahead.

FRESH ISSUES

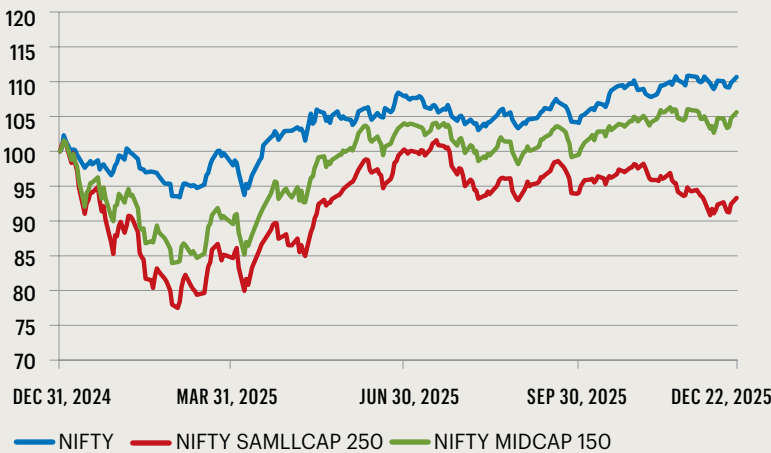
As many as 103 mainboard IPOs raised ₹1,75,451 crore, while 261 SME offerings mobilised another ₹11,100 crore in 2025 (till December 19). In addition, 31 offers for sale (through stock exchange mechanism route) garnered ₹18,291 crore. Promoters pared stakes worth ₹1,33,330 crore in 349 bulk and block deals, while private equity and venture capital investors exited equities worth ₹76,078 crore through 405 deals, reveals data from PRIME Database Group.

In 2026, several big-ticket IPOs, from Reliance Jio and NSE, to Flipkart, are expected. Pranav Haldea, MD at PRIME Database, says the IPO pipeline remains crowded, with about 200 companies either securing Sebi approval or awaiting a nod, a count that does not include the mega Jio Platforms' IPO, whose draft papers are yet to be filed.

Haldea expects the flow of equity supply through Offers For Sale (OFS) and block deals to remain unabated and adds that Q2 earnings recovery, coupled with a year-long time correction, has

BRUISED MARKET

• The headline resilience in Nifty hid the bruising the broader market received in 2025



NOTE FIGURES REBASED TO 100; DATA AS ON DECEMBER 22, 2025
SOURCE ACE EQUITY

HITS AND MISSES

INDEX	LTP*	DEC 31, 2024	RETURN (IN %)
Nifty Metal	10,727	8,649	24
Nifty Auto	27,892	22,834	22.15
Nifty India Defence	7,764	6,493	19.56
Nifty Bank	59,299	50,860	16.59
Nifty Healthcare	14,788	14,951	-1
NIFTY Pharma	22,875	23,412	-2.29
Nifty FMCG	55,348	56,799	-2.55
Nifty IT	39,173	43,337	-9.61

NOTE *LAST TRADED PRICE IN ₹; DATA AS OF DECEMBER 23, 2025
SOURCE ACE EQUITY

brought valuations to more reasonable levels compared to last year. Overlaying this is the prospect of an 'anti-AI trade' which, if it plays out, could revive foreign inflows

and ease the pressure on domestic funds to support the market.

An "anti-AI bet" is an investment strategy or market theme focusing on sectors and companies